



Income Tax Department

Ministry of Finance, Government of India

Deductions from salaries.

16. The income chargeable under the head "Salaries" shall be computed after making the following deductions, namely :—

- (i) [***]
- (ia) a deduction of fifty thousand rupees or the amount of the salary, whichever is less:
⁵²[**Provided** that in a case where income-tax is computed under clause (ii) ⁵³[or clause (iii)] of sub-section (1A) of section 115BAC, the provisions of this clause shall have effect as if for the words "fifty thousand rupees", the words "seventy-five thousand rupees" had been substituted;]
- (ii) a deduction in respect of any allowance in the nature of an entertainment allowance specifically granted by an employer to the assessee who is in receipt of a salary from the Government, a sum equal to one-fifth of his salary (exclusive of any allowance, benefit or other perquisite) or five thousand rupees, whichever is less;
- (iii) a deduction of any sum paid by the assessee on account of a tax on employment within the meaning of clause (2) of article 276 of the Constitution, leviable by or under any law.
- (iv) [***]
- (v) [***]

52. Ins. by Act No. 15 of 2024, w.e.f. 1-4-2025.

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